

INDIA'S EXPORTS TO THE US

$6-7 billion (₹52,800-61,600 cr.)

TOTAL JOBS IMPACTED

40 thousand (approx.)

CHEMICAL IMBALANCE

US tariffs squeeze Indian chemical exports, eroding margins, denting competitiveness and redrawing global trade flows in key markets

By SONAL KHETARPAL

form a large share, with production clustered in Maharashtra and Gujarat. In fact, India is a leading manufacturer of dyes and pigments, used extensively in the textile industry. Thus, ripple effects extend beyond exporters. "Any slowdown in textiles and apparel sector will hit the entire value chain," warns Prashant Patel, former president of the MSME body FISME.

↘ The Competitors: The tariff shock also tilts the playing field in favour of rivals. "The competitiveness of Indian goods in the US market will be affected," notes Khushbu Lakhotia, director at India Ratings and Research. According to her, China, Ireland and several other European nations, who now have an easier access to the US, stand to gain.

↘ Newer Markets: To survive, Indian firms are looking elsewhere. "Since ours are B2B products with standard formulations used globally, alternative markets in Africa, the EU, Indonesia and Vietnam will be explored in the long run," says Patel. Growth prospects also exist with existing partners—Brazil, Japan and the UAE for agrochemicals, and the EU for organics. Rising domestic demand offers another cushion, though, as Lakhotia cautions, it comes with fiercer competition and thinner margins. ■

CASE STUDY

KEYUR PATEL, 55

Macson Products, *Surat*

Annual turnover
₹150 crore

No. of employees: 80

Total exports to the US
₹79 crore *(FY25)*

Likely loss due to the tariffs
30-40% of revenue

Back in 1995, Patel launched Macson Products, betting on premium dye intermediates and specialty chemicals used to make edible colours for drugs, cosmetics and food. Three decades later, that gamble has grown into a steady business.

Now, though, Patel is bracing for a sharp downturn. "We are expecting a 20–40 per cent hit to our revenue. For this fiscal, I have done business worth Rs 40 crore, and I don't think we can even reach Rs 100 crore," he says. While Patel's existing orders are locked in at predecided prices, buyers are now asking him to delay shipments, throwing his financial cycle off track. That, he fears, will push them to renegotiate new contracts or turn to alternatives by Q1FY27.

"I have 150 metric tonnes of inventory, but I doubt I'll get export orders to use this raw material," says Patel. American buyers are already scouting for alternatives. "They've planned visits to trade fairs in Vietnam, the Philippines and Singapore to find new suppliers," he adds.

China looms large as well. With government subsidies of 14–15 per cent, Chinese manufacturers can seize this opportunity in no time. The uncertainty has left Patel questioning the future of the trade itself. "I have two sons; I don't want them to enter the chemicals business now," he says. ■